

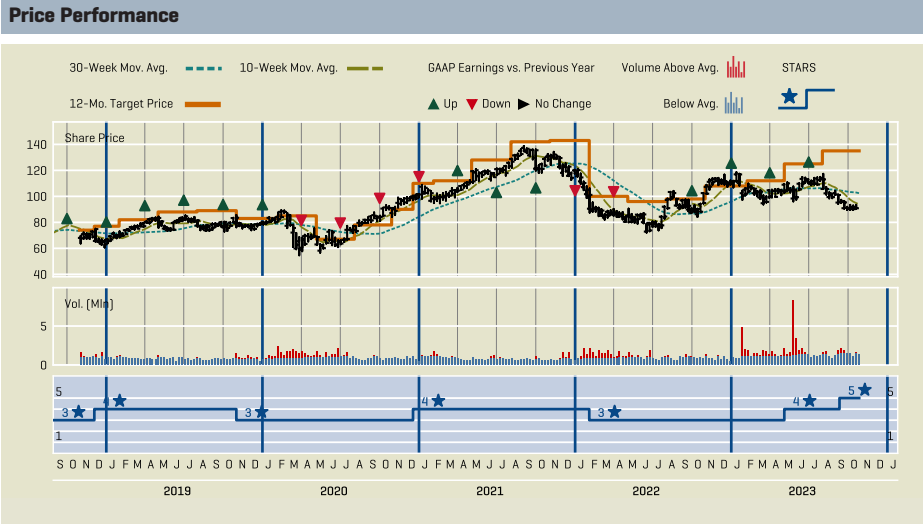
Xylem Inc.

Recommendation	STRONG BUY	Price	USD 88.17 [as of market close Oct 27, 2023]	12-Mo. Target Price	USD 135.00	Report Currency	USD	Investment Style	Large-Cap Value
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Equity Analyst Jonathan Sakraida

GICS Sector	Industrials	Summary	Xylem is a world leader in the design, manufacture, and application of highly engineered
Sub-Industry	Industrial Machinery and Supplies and Components	technologies for the water industry.	

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence [SPGMI], Company Reports)									
52-Wk Range	USD 118.58 - 87.74	Oper.EPS2023E	USD 3.52	Market Capitalization[B]	USD 21.23	Beta	1.11		
Trailing 12-Month EPS	USD 3.41	Oper.EPS2024E	USD 3.94	Yield [%]	1.5	3-yr Proj. EPS CAGR[%]	15		
Trailing 12-Month P/E	25.86	P/E on Oper.EPS2023E	25.05	Dividend Rate/Share	USD 1.32	SPGMI's Quality Ranking	B+		
USD 10K Invested 5 Yrs Ago	14,089.0	Common Shares Outstg.[M]	241.00	Trailing 12-Month Dividend	USD 1.29	Institutional Ownership [%]	90.0		



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by Jonathan Sakraida on Sep 22, 2023 01:18 AM ET, when the stock traded at USD 91.42.

Highlights	Investment Rationale/Risk
▶ We see sales growth of 31% in 2023 on contributions from Evoqua, as well as pricing actions, improved backlog conversion, robust wastewater utility demand, and infrastructure projects. Q2 orders were down 2% [organically] on a difficult comp, though backlog expanded 7% organically Y/Y on a book-to-bill greater than one. XYL's Water Infrastructure business is benefiting from strong price realization globally and robust emerging market demand. For Applied Water, we expect sustained strength in demand for industrial and commercial applications, partially offset by softness in residential. We anticipate standout organic growth from Measurement & Control Solutions as chip shortages ease and order backlog is addressed. ▶ We expect the EBITDA margin to benefit from positive price/cost and easing supply chain constraints, which we see translating into an improved backlog conversion rate and profitability. We anticipate an adjusted EBITDA margin of 18% for 2023. ▶ We anticipate free cash flow conversion to return to about 100% of net income in 2023. Local and federal infrastructure programs and public utility growth in emerging markets will be positive catalysts for EPS growth, in our view.	▶ Our Strong Buy view reflects our outlook for strong demand in utility end markets and growth catalysts stemming from federal infrastructure spending, with recovering component and chip availability unlocking growth. Supply chain bottlenecks have limited the speed at which XYL has been able to convert orders to sales, though we are seeing sequential improvements, with Measurement & Control growth accelerating as headwinds ease. Demand remains robust for the digital transformation of the water business, and we see ongoing support from industry adoption of digital solutions. We view XYL as better positioned for top- and bottom-line expansion following the integration of Evoqua, which resulted in enhanced exposures to high growth markets. ▶ Risks to our view and target price include weaker global market conditions, negative foreign currency impact, a prolonged supply chain bottleneck, integration issues from acquisitions, and delays in public funding for water infrastructure. ▶ Our 12-month target of \$135 values the shares at an EV/EBITDA multiple of 21.2x our 2024 EBITDA estimate, in line with XYL's three-year forward average, warranted by favorable trends in utilities spending and water infrastructure.

Analyst's Risk Assessment		
LOW	MEDIUM	HIGH

Our risk assessment reflects our view of stable cash generation and potential market share expansion, as Xylem focuses on emerging regions where water treatment is needed. However, uncertain global economies, sovereign debt issues, and government budget shortfalls remain concerns.

Revenue/Earnings Data					
Revenue (Million USD)					
	1Q	2Q	3Q	4Q	Year
2024	E 2,027	E 1,877	E 2,106	E 2,235	E 8,245
2023	1,448	1,722	E 1,932	E 2,108	E 7,210
2022	1,272	1,364	1,380	1,506	5,522
2021	1,256	1,351	1,265	1,323	5,195
2020	1,123	1,160	1,220	1,373	4,876
2019	1,237	1,345	1,296	1,371	5,249

Earnings Per Share (USD)					
	1Q	2Q	3Q	4Q	Year
2024	E 0.84	E 1.01	E 1.01	E 1.08	E 3.94
2023	0.72	0.98	E 0.89	E 0.94	E 3.52
2022	0.47	0.66	0.79	0.92	2.85
2021	0.56	0.66	0.63	0.63	2.49
2020	0.23	0.40	0.62	0.81	2.06
2019	0.52	0.79	0.82	0.89	3.02

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data				
Amount [USD]	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
0.3300	Aug 17	Aug 30	Aug 31	Sep 28 '23
0.3300	May 18	May 26	May 30	Jun 28 '23
0.3300	Feb 07	Feb 21	Feb 22	Mar 22 '23
0.3000	Nov 10	Nov 21	Nov 22	Dec 20 '22

Dividends have been paid since 2011. Source: Company reports
Past performance is not an indication of future performance and should not be relied as such.
Forecasts are not a reliable indicator of future performance.
Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.



Xylem Inc.

Business Summary Sep 22, 2023

CORPORATE OVERVIEW. Xylem Inc. [XYL] designs, manufactures, and applies highly engineered technologies for the water industry. The company is a leading equipment and service provider for water and wastewater applications, with a broad portfolio of products and services addressing the full cycle of water, from collection, distribution, and use to the return of water to the environment. XYL has leading market positions in core areas of the water equipment industry: transport, treatment, test, building services, industrial processing, and irrigation. XYL operates in four segments: Water Infrastructure, Applied Water, Measurement & Control Solutions, and Integrated Solutions & Services. XYL benefits from a large and growing installed base of products driving growth in aftermarket sales for replacement parts and services. The U.S. accounted for 46% of 2022 total revenues, Europe 26%, emerging markets 20%, and other 8%.

The Water Infrastructure segment [43% of 2022 revenues] focuses on the transportation and treatment of water, offering a range of products including water and wastewater pumps, filtration and treatment equipment, and controls. XYL also offers dewatering services that include the removal of water from solid material or soil by wet classification, centrifugation, filtration, or similar separation processes. The customer base primarily consists of the utility and industrial end markets. Several trends are driving demand in this segment, such as [i] an increase in both the type and amount of contaminants found in the water supply; [ii] tightening environmental regulations; [iii] a need to enhance system efficiencies and resilience to optimize energy and other operational costs; [iv] the retirement of an aging water industry workforce that has not been systematically replaced at utilities and other end-user customers; and [v] the build-out of water infrastructure in the emerging markets. Key brands include Flygt, Wedeco, Godwin Pumps, Sanitaire, Xylem Vue, and Leopold.

The Applied Water segment [32%] encompasses all the uses of water and focuses on the residential, commercial, industrial, and agricultural markets. Industrial Water made up 45% of 2022 segment revenues and Building Services made up 55%. Population growth and urbanization, climate and regulation on energy efficiency, and digitalization enabling self-service and preventive maintenance represent macro growth drivers for Applied Water. The segment’s major products include pumps, valves, heat exchangers, controls, and dispensing equipment. Key brands in this segment include Goulds Water Technology, Bell & Gossett, A-C Fire, Standard, Xchange, Flojet, Lowara, Jabsco, and Xylem Vue.

The Measurement & Control Solutions [25%] includes key products such as smart meters, software, test equipment, sensor devices, base stations, regulators, and data analytics. The segment’s 2022 revenues can be broken down by: Water 81% and Energy 19%. Macro growth drivers consist of increasing regulation, aging infrastructure, and a worldwide shift toward smart grid implementation. Key brands include Sensus, Pure, Smith Blair, WTW, YSI, and Xylem Vue.

The Integrated Solutions & Services segment [created May 2023] specializes in mission-critical water treatment solutions and services primarily high-growth Industrial markets. The segment was created following the acquisition of Evoqua.

CORPORATE STRATEGY. The company seeks to increase revenues both organically and through strategic acquisitions. XYL plans to extend its leading market positions where it has a strong competitive position and proven technology. In addition, it plans to invest in the differentiation of its core product lines while expanding into adjacent and complementary technologies, as evidenced by acquisitions of analytical instrumentation and dewatering solutions businesses. XYL will continue to target strategic bolt-on acquisitions, we think, albeit at a more measured pace in upcoming years, as it focuses on cost realignments.

Urbanization trends and growth in the middle class throughout developing countries continue to generate significant demand for water applications. XYL intends to continue to capture this growth via expansion into emerging markets such as China, India, and Brazil, increasing its existing presence. It plans to leverage its strong global reach, manufacturing footprint, and distribution network to capitalize on growth opportunities in these regions. Innovation and technology are also vital to company strategy. XYL is increasing its focus on smart technology and more digitally enabled [or digitized] technologies to improve customers’ productivity, quality, and resilience.

With certain segments of the estimated \$700 billion global water addressable market highly fragmented, acquisition opportunities are abundant, in our view. XYL has completed and integrated multiple acquisitions over the past several years, including Pure Technologies, PIMS Group, Heartland Pump, Godwin Pumps, Nova Analytics, YSI Inc., OI Corp, and Evoqua Water Technologies.

FINANCIAL TRENDS. For the five-year period through 2022, revenues increased at a compound annual growth rate [CAGR] of 3.3%, operating income declined by a CAGR of 2.7%, and adjusted earnings per share increased by a CAGR of 1.3%. Return on equity [ROE] fell to 10.6% in 2022 from 13.8% in 2021.

Corporate information

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President, CEO & Director

P. K. Decker

Independent Chairman

R. F. Friel

Senior VP & General Counsel

D. Capers

VP, Controller & Chief Accounting Officer

G. McShane

Board Members

E. R. Ellis

M. D. Morelli

J. A. Peribere

P. K. Decker

J. M. Beliveau-Dunn

R. F. Friel

L. C. Swann

S. R. Loranger

L. Glatch

U. Yadav

L. Tretikov

V. D. Harker

Domicile

Indiana

Auditor

Deloitte & Touche LLP

Founded

2011

Employees

17,800

Stockholders

8,359



Xylem Inc.

Quantitative Evaluations					
Fair Value Rank	1	2	3	4	5
	LOWEST				HIGHEST
	Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued (1) to most undervalued (5).				
Fair Value Calculation	USD 88.28	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that XYL is undervalued by USD 0.11 or 0.12%			
Volatility	LOW		AVERAGE	HIGH	
Technical Evaluation	NEUTRAL	Since June, 2023, the technical indicators for XYL have been NEUTRAL"			
Insider Activity	NA	UNFAVORABLE	NEUTRAL	FAVORABLE	

Expanded Ratio Analysis				
	2022	2021	2020	2019
Price/Sales	3.62	4.19	3.78	2.72
Price/EBITDA	22.72	26.32	25.05	15.08
Price/Pretax Income	45.48	42.59	64.68	34.32
P/E Ratio	38.80	48.16	49.41	26.09
Avg. Diluted Shares Outstg. [M]	181.00	181.50	181.10	181.20
Figures based on fiscal year-end price				

Key Growth Rates and Averages				
Past Growth Rate [%]		1 Year	3 Years	5 Years
Net Income		NM	NM	1.41
Sales		6.29	1.70	3.25
Ratio Analysis (Annual Avg.)				
Net Margin [%]		6.43	6.62	7.61
% LT Debt to Capitalization		32.98	37.66	38.03
Return on Equity [%]		10.55	10.96	13.51

Company Financials Fiscal year ending Dec 31										
Per Share Data [USD]	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Tangible Book Value	-0.86	-3.27	-5.43	-5.86	-8.01	-7.97	-9.16	0.36	0.12	0.19
Free Cash Flow	2.15	1.83	3.56	3.41	1.94	2.87	2.08	1.92	1.62	1.07
Earnings	1.96	2.35	1.40	2.21	3.03	1.83	1.45	1.87	1.83	1.22
Earnings [Normalized]	2.85	2.49	2.06	3.02	2.88	2.40	2.03	1.85	1.97	1.67
Dividends	1.20	1.12	1.04	0.96	0.84	0.72	0.62	0.56	0.51	0.47
Payout Ratio [%]	61.13	47.54	74.02	43.39	27.69	39.27	43.08	30.00	27.89	38.16
Prices: High	121.05	138.78	101.87	85.66	82.44	69.88	54.99	38.65	40.00	34.93
Prices: Low	72.08	94.63	54.62	63.78	60.65	46.67	31.67	29.90	31.80	23.61
P/E Ratio: High	42.50	55.70	49.50	28.40	28.60	29.10	27.10	20.90	20.30	20.90
P/E Ratio: Low	25.30	38.00	26.50	21.10	21.10	19.40	15.60	16.20	16.10	14.10
Income Statement Analysis [Million USD]										
Revenue	5,522	5,195	4,876	5,249	5,207	4,707	3,771	3,653	3,916	3,837
Operating Income	645.00	582.00	485.00	690.00	687.00	580.00	486.00	455.00	489.00	453.00
Depreciation + Amortization	263.00	269.00	276.00	257.00	261.00	234.00	151.00	133.00	142.00	150.00
Interest Expense	50.00	76.00	77.00	67.00	82.00	82.00	70.00	55.00	54.00	55.00
Pretax Income	440.00	511.00	285.00	416.00	585.00	466.00	340.00	403.00	421.00	308.00
Effective Tax Rate	19.30	16.40	10.90	3.60	6.20	29.20	23.50	15.60	20.00	26.00
Net Income	355.00	427.00	254.00	401.00	549.00	331.00	260.00	340.00	337.00	228.00
Net Income [Normalized]	382.50	325.00	261.20	391.20	381.90	314.10	261.20	250.00	272.50	248.80
Balance Sheet and Other Financial Data [Million USD]										
Cash	944.00	1,349	1,875	724.00	296.00	414.00	308.00	680.00	663.00	533.00
Current Assets	3,012	3,160	3,523	2,450	2,094	2,071	1,839	2,005	2,064	2,009
Total Assets	7,952	8,276	8,750	7,710	7,222	6,860	6,474	4,657	4,833	4,896
Current Liabilities	1,590	1,391	1,956	1,501	1,389	1,100	1,238	823.00	903.00	853.00
Long Term Debt	1,880	2,440	2,484	2,040	2,051	2,200	2,108	1,196	1,195	1,199
Total Capital	5,701	5,978	6,339	5,529	5,090	4,719	4,575	3,358	3,411	3,482
Capital Expenditures	208.00	208.00	183.00	226.00	237.00	170.00	124.00	117.00	119.00	126.00
Cash from Operations	596.00	538.00	824.00	839.00	586.00	686.00	497.00	464.00	416.00	324.00
Current Ratio	1.89	2.27	1.80	1.63	1.51	1.88	1.49	2.44	2.29	2.36
% Long Term Debt of Capitalization	33.00	40.80	39.20	36.90	40.30	46.60	46.10	35.60	35.00	34.40
% Net Income of Revenue	6.40	8.20	5.20	7.60	10.50	7.00	6.90	9.30	8.60	5.90
% Return on Assets	4.97	4.27	3.68	5.78	6.10	5.44	5.46	5.99	6.28	5.91
% Return on Equity	10.60	13.80	8.50	14.00	20.70	14.00	12.10	16.10	15.40	10.60

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Xylem Inc.**Sub-Industry Outlook**

Our 12-month fundamental investment outlook for the industrial machinery sub-industry is neutral, reflecting our outlook for moderating order growth as shipments and lead times improve, balanced by resiliency across a number of key end markets. In our view, drivers of machinery demand will be the ramping of aerospace and defense production lines, and strength in domestic oil and gas drilling activity. We expect these positive demand drivers to be offset by a softening manufacturing sector amid broader macro uncertainty.

The U.S. manufacturing sector remains in contraction territory following 28 months of growth, driven in part by moderating new order rates. Despite the recent softening of demand within the manufacturing sector, industrial machinery backlogs remain well-above historical levels [July U.S. Census Release: up 1% Y/Y; up 35% from February 2020]. Several of the largest players within the sub-industry, including Parker-Hannifin, Otis, Ingersoll Rand, and Xylem, achieved sequential growth to already elevated backlogs during Q2. We anticipate backlogs being worked down as the year progresses on meaningful improvements in global supply chains and component availability. We see near-record backlogs providing a cushion amid a dynamic macro environment and supporting financial results over the coming quarters.

The U.S.'s large aerospace and defense manufacturing base is a key customer for the industrial machinery sub-industry, and we see these customers supporting order growth throughout 2023. Looking ahead, defense spending will likely be boosted in response to Putin's invasion of Ukraine, while at the same time, U.S. air travel demand has been robust. These factors are pushing Boeing, Airbus, and the major U.S. defense firms to ramp up production lines, which, in turn, should lead to healthy order growth for the industrial machinery sub-industry out of this customer group.

Machinery demand is also being supported by oil and gas companies. As of September 1, 2023 (per

Baker Hughes), global oil and gas drilling activity was up 3% Y/Y, reflecting increasing global energy demand and supportive oil and gas prices. We expect activity surrounding oil and gas drilling and refining to be relatively solid through 2023 as prices remain favorable. Both upstream and downstream oil and gas players rely on many types of machinery, and higher production volumes could be a tailwind for the industrial machinery sub-industry over the next year if demand remains resilient and prices stay elevated.

We believe easing inflationary pressures from energy and material costs could support bottom line expansion in 2023. In July 2023, the producer price index for electric power in the U.S. was down 40% Y/Y. The index for global metal prices was up 4% Y/Y but down 23% from the 2022 peak. Easing cost inflation should lead to machinery customer profitability and support new equipment orders, though we see an uncertain macro backdrop being a limiting factor.

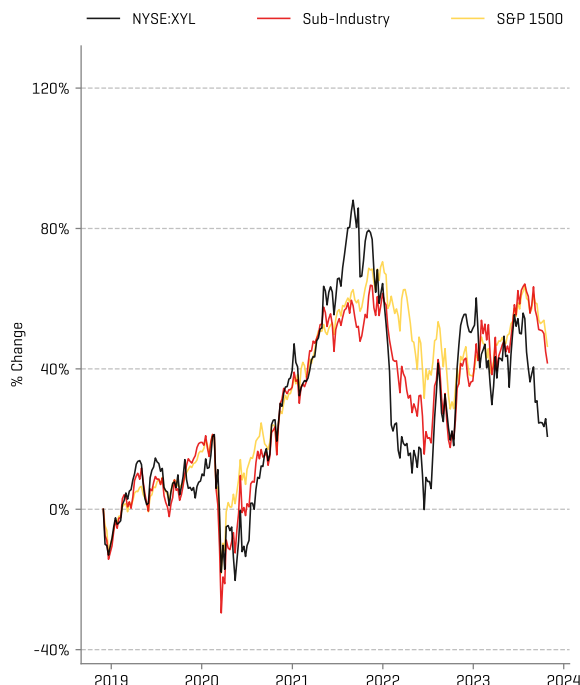
Year-to-date through August 31, the S&P 500 Industrial Machinery Index rose 20.2%, outperforming the S&P 500 Industrials Index (+13.1%) and the S&P 500 Index (+17.9%).

/ Jonathan Sakraida

Industry Performance**GICS Sector: Industrials****Sub-Industry: Industrial Machinery and Supplies and Components**

Based on S&P 1500 Indexes

Five-Year market price performance through Oct 28, 2023



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.

All Sector & Sub-Industry information is based on the Global Industry Classification Standard [GICS].

Past performance is not an indication of future performance and should not be relied upon as such.

Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Industrial Machinery and Supplies and Components Peer Group*: Industrial Machinery and Supplies and Components

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. [M]	30-Day Price Chg. [%]	1-Year Price Chg. [%]	P/E Ratio	Fair Value Calc.	Yield [%]	Return on Equity [%]	LTD to Cap [%]
Xylem Inc.	XYL	NYSE	USD	88.69	21,359.0	-0.9	-10.5	26.0	88.28	1.5	5.4	18.1
Dover Corporation	DOV	NYSE	USD	130.55	18,263.0	-6.6	2.3	15.0	131.97	1.6	23.2	36.9
Fortive Corporation	FTV	NYSE	USD	65.10	22,878.0	-11.1	3.9	20.0	56.72	0.4	8.5	15.3
Graco Inc.	GGG	NYSE	USD	74.73	12,614.0	3.7	14.5	25.0	N/A	1.3	26.3	N/A
IDEX Corporation	IEX	NYSE	USD	193.21	14,607.0	-5.2	-12.1	24.0	N/A	1.3	19.9	28.1
Ingersoll Rand Inc.	IR	NYSE	USD	59.88	24,215.0	-4.6	23.2	22.0	59.40	0.1	7.6	22.2
Lincoln Electric Holdings, Inc.	LECO	NasdaqGS	USD	168.12	9,652.0	-5.6	21.5	20.0	153.56	1.7	45.2	46.6
Nordson Corporation	NDSN	NasdaqGS	USD	212.80	12,133.0	-1.6	-4.4	25.0	N/A	1.3	21.0	20.5
Otis Worldwide Corporation	OTIS	NYSE	USD	75.52	31,095.0	-4.8	10.5	23.0	51.13	1.8	-31.5	220.8
Snap-on Incorporated	SNA	NYSE	USD	253.49	13,379.0	0.2	17.2	14.0	276.85	2.6	22.1	N/A
Stanley Black & Decker, Inc.	SWK	NYSE	USD	77.23	11,834.0	-6.0	-2.6	552.0	82.87	4.2	-0.8	34.0

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.

NA-Not Available; NM-Not Meaningful.

Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Xylem Inc.

Analyst Research Notes and other Company News

September 11, 2023

12:14 AM ET... CFRA Upgrades View on Xylem Inc. Shares to Strong Buy from Buy [XYL 95.22****]:

We upgrade our recommendation on XYL to Strong Buy from Buy on valuation. Shares are trading with a more attractive margin of safety following a roughly 17% decline from the recent peak established in July, now below the 200-day moving average of around \$106. We see upside in shares amid a still resilient demand environment coupled with improving backlog execution and favorable pricing realization. We see XYL as well positioned to benefit from the bipartisan infrastructure bill (~\$55 billion allocated towards drinking water, wastewater, and stormwater infrastructure), which will help to drive demand for the modernization and replacement of aging water infrastructure. We maintain our 12-month price target at \$135 and our 2023 and 2024 EPS estimates [\$3.52 and \$3.94, respectively]. / Jonathan Sakraida

August 02, 2023

12:23 PM ET... CFRA Keeps Buy Opinion on Shares of Xylem Inc. [XYL 114.29****]: We lift our 12-month target to \$135 from \$125, implying an EV/EBITDA multiple of 21.2x our 2024 EBITDA estimate, in line with XYL's three-year forward average warranted by favorable trends in utilities spending and water infrastructure. We lift our 2024 EPS estimate to \$3.94 from \$3.49 and 2023 EPS to \$3.52 from \$3.30. XYL posts Q2 adjusted EPS of \$0.98 vs. \$0.74 [+32% Y/Y], \$0.17 above the consensus forecast. Q2 revenue rose 26% Y/Y (up 15% organic), reflecting contributions from the May 24 acquisition of Evoqua. Organic growth was driven by momentum in Measurement & Controls [+21%; 24% of total Q2 sales] as backlog execution for smart metering products improved on supply chain normalization. Pricing realization continues to provide upward pressure to both sales and margins. We reiterate our Buy recommendation on XYL shares amid a resilient demand environment and improving backlog execution. / Jonathan Sakraida

May 05, 2023

12:21 AM ET... CFRA Upgrades Opinion on Shares of Xylem Inc. to Buy from Hold [XYL 107.00****]:

We raise our 12-month target to \$125 from \$112, implying an EV/EBITDA multiple of 21.2x our 2024 EBITDA estimate, in line with XYL's three-year forward average warranted by positive growth catalysts in utilities and water infrastructure. We lift our 2024 EPS estimate to \$3.49 from \$3.27 and 2023 EPS to \$3.30 from \$3.05. XYL posts Q1 adjusted EPS of \$0.72 vs. \$0.47 [+53% Y/Y], beating consensus by \$0.10 and the CFRA estimate by \$0.11. Strong EPS results were driven by better-than-anticipated sales growth, in our view. Revenue grew 14% Y/Y [+17% organic], led by continued momentum in XYL's Measurement & Control business [28% of sales; +29 Y/Y] on improving chip supply. Top-line results were also supported by Water Infrastructure [41%; +11% Y/Y], which benefited from price realization and robust utilities and industrial demand. We turn positive on the shares and upgrade our rating to Buy given an improving growth trajectory related to easing supply chain constraints, and see fundamentals backing upside in shares. / Jonathan Sakraida

February 07, 2023

12:25 PM ET... CFRA Reiterates Hold View on Shares of Xylem Inc. [XYL 105.42***]: We lift our 12-month target price by \$4 to \$112, implying an EV/EBITDA multiple of 20.0x our 2024 EBITDA estimate, near the midpoint of XYL's three-year forward average range, reflecting our outlook for positive growth catalysts in water infrastructure. We initiate our 2024 EPS estimate at \$3.27 and adjust our 2023 forecast to \$3.05 from \$3.10. XYL posts Q4 adj-EPS of \$0.92 vs. \$0.63 [+46%], topping consensus by \$0.13 and the CFRA forecast by \$0.12. Sales rose by 14% Y/Y [+20% organic growth]. Results were led by better than anticipated top-line growth in Measurement & Control Solutions [+35% organic] on improving chip availability. Applied Water also meaningfully contributed to Q4 growth [+17% organic] due to pricing realization. XYL initiated guidance of 4-6% organic growth in 2023. While challenges around chips continue, we are encouraged by easing constraints and see the upper end of sales guidance being achievable. / Jonathan Sakraida

January 23, 2023

01:03 PM ET... CFRA Keeps Hold View on Shares of Xylem Inc. [XYL 101.03****]: XYL shares are trading lower today following its agreement to acquire Evoqua Water Technologies Corp. [AQUA] in an all-stock deal for \$7.5B. XYL is looking to build exposure to growth end markets [life sciences, microelectronics, power and food, and beverage], with the expectation of an annual run rate of \$140M in cost

synergies within the next three years. AQUA has benefited from broad end-market demand across regions and product lines. However, AQUA's organic growth rate has trended lower into the upper-single digits in the most recent quarters. The negative reaction on XYL shares stems from AQUA's \$7.5B price tag, in our view. AQUA shares were already trading at an elevated multiple relative to its historical averages prior to XYL's announcement, with the \$52.89 per share acquisition price representing a 29% premium to AQUA shares vs. the closing price as of January 20. Accounting for AQUA's moderating growth trajectory, we view the enterprise value of ~\$7.5B being above fair value. / Jonathan Sakraida

November 01, 2022

12:10 PM ET... CFRA Maintains Hold Opinion on Shares of Xylem Inc. [XYL 103.49****]:

We lift our 12-month target price by \$10 to \$108, implying an EV/EBITDA multiple of 20.2x our 2023 EBITDA estimate, in line with XYL's three-year historical forward average, reflecting our outlook for positive growth catalysts in utilities and water infrastructure, balanced by ongoing supply chain challenges. We raise our 2022 EPS estimate \$0.10 to \$2.72 and lower our 2023 estimate to \$3.10 from \$3.16. XYL posts Q3 adj-EPS of \$0.79 vs. \$0.63 [+25%], topping consensus by \$0.13. Revenue increased 9% Y/Y [+16% organically], driven by price realization, robust utilities demand, and backlog execution. XYL's adj-EBITDA margin expanded 50 basis points Y/Y to 18.3% [+170 bps sequentially], with pricing benefits and productivity savings supporting gains. Chip supplies remain constrained yet are improving, reflected in the 400 bps improvement in Measurement and Control's adj-EBITDA margin vs. Q2 2022. / Jonathan Sakraida

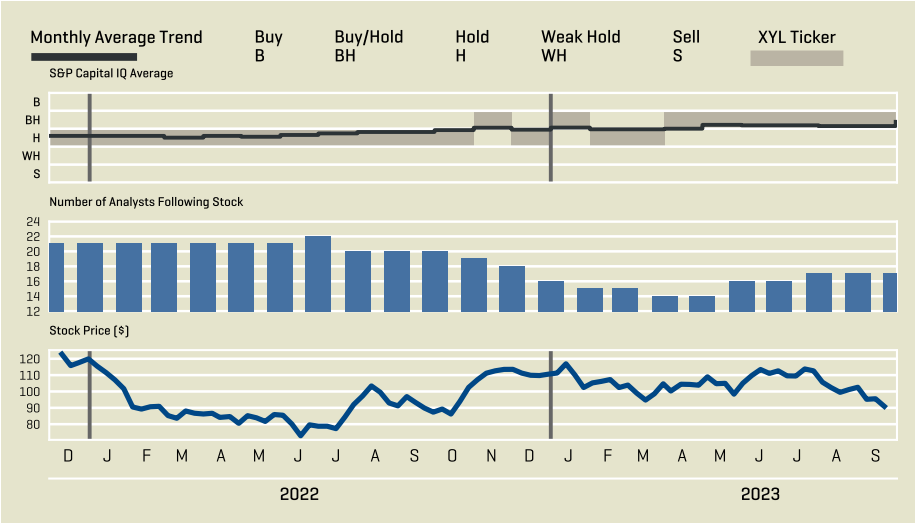
August 02, 2022

09:52 AM ET... CFRA Keeps Hold Opinion on Shares of Xylem Inc. [XYL 97.33****]: We lift our 12-month target price \$2 to \$98, implying an EV/EBITDA multiple of 19.9x our 2022 EBITDA estimate, above XYL's three-year historical forward average of 19.3x, reflecting our outlook for positive growth catalysts in utilities and water infrastructure, balanced by ongoing supply chain disruptions. We adjust our 2022 EPS estimate \$0.03 lower to \$2.62 and keep 2023 EPS at \$3.16. XYL posts Q2 adj-EPS of \$0.66, beating consensus by \$0.12. Q2 sales grew 1%, with organic revenue up 6%. Organic order growth [+6%] continues to indicate healthy demand, led by a pick-up in water infrastructure orders [+21%]. Adj-EBITDA widened to 16.6% [+240 bps] sequentially, but contracted 70 bps when compared Y/Y. While chip supply was reported to have improved during the quarter, Measurement and Control's organic sales [-2%] and adj-EBITDA margin [-410 bps] were still weighed down by chip constraints. We are encouraged by improving chip supply and see an adj-EBITDA margin of 16.5% being achievable for the full year. / Jonathan Sakraida

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Xylem Inc.

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	7	41	5	5
Buy/Hold	2	12	2	2
Hold	7	41	9	8
Weak hold	1	6	1	1
Sell	0	0	0	0
No Opinion	0	0	0	0
Total	17	100	17	16

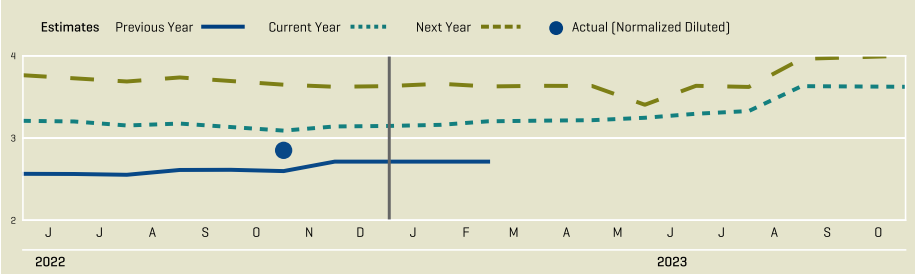
Wall Street Consensus Opinion

Buy/Hold

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that XYL will earn USD 3.62. For fiscal year 2024, analysts estimate that XYL's earnings per share will grow by 10.39% to USD 4.00.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	4.00	4.25	3.72	16	22.17
2023	3.62	3.68	3.53	16	24.48
2024 vs. 2023	▲ 10%	▲ 15%	▲ 5%	N/A%	▼ -9%
Q3'24	1.00	1.03	0.95	5	88.86
Q3'23	0.89	0.92	0.86	13	100.15
Q3'24 vs. Q3'23	▲ 13%	▲ 12%	▲ 10%	▼ -62%	▼ -11%

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Xylem Inc.

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsule the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

- CAGR - Compound Annual Growth Rate
- CAPEX - Capital Expenditures
- CY - Calendar Year
- DCF - Discounted Cash Flow
- DDM - Dividend Discount Model
- EBIT - Earnings Before Interest and Taxes
- EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
- EPS - Earnings Per Share
- EV - Enterprise Value
- FCF - Free Cash Flow
- FFO - Funds From Operations
- FY - Fiscal Year
- P/E - Price/Earnings
- P/NAV - Price to Net Asset Value
- PEG Ratio - P/E-to-Growth Ratio
- PV - Present Value
- R&D - Research & Development
- ROCE - Return on Capital Employed
- ROE Return on Equity
- ROI - Return on Investment
- ROIC - Return on Invested Capital
- ROA - Return on Assets
- SG&A - Selling, General & Administrative Expenses
- SOTP - Sum-of-The-Parts
- WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



Xylem Inc.

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five [six] model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section seof the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

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Xylem Inc.

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